

has looked at your credit report, income, and level of debt and determined that you appear to qualify for a loan.

---



Mortgage brokers bring lenders and borrowers together but do not lend money or service loans. Their fee is added to the cost of your loan. If you don't have great credit, you may get a better rate through a broker than through a bank, but watch out for the fees.

---

Preapproval, which means that the lender has approved you for a specific loan amount, gives you the most credibility with the seller, who may be deciding between two or more offers and doesn't want to accept an offer from someone who may not qualify for the financing. You'll need to present a heap of paperwork to the mortgage company during the application process, including the following forms:

- W-2 forms for the prior two years
- Federal tax returns for the prior two years
- Documentation for any other income you're claiming, such as overtime, bonuses, child support, or alimony
- A list of all your debts, such as credit cards, student loans, car loans, child support, or alimony, and the name of the creditor, balance owed, and minimum monthly payment
- Copies of bank statements
- Proof of assets, such as stock or mutual fund statements and car and real estate titles
- Proof of rent or mortgage payments (canceled checks)